



US Economic Weekly

Global Markets Research

10 July 2026

Economics - North America

The force awakens

- We expect *core CPI inflation remained relatively stable at 0.215% m-o-m* in June following a 0.208% advance in May. Core goods inflation remained negative in June, while supercore CPI accelerated.
- Overall, based on our CPI and PPI forecast, core PCE inflation likely moderated slightly to 0.271% m-o-m from 0.320% in May, leaving y-o-y inflation at 3.4%, well above the Fed's target. However, considering the upcoming methodology changes to certain PCE prices, core PCE inflation is unlikely to accelerate more than the median SEP forecast implies.
- The *Fed announced the members of five task forces*. We think that the choice of members does not signal any clear bias in terms of the future path of monetary policy. Future work by the task forces will likely be evolutionary as opposed to revolutionary.

Another benign reading of core CPI inflation is expected

We expect *core CPI inflation remained relatively stable at 0.215% m-o-m* in June after having risen by 0.208% in May and 0.376% in April (*Fig. 1*).

The impact from tariffs has been waning, and used vehicle prices declined. The global shortage of semiconductors did not appear to exert significant upward pressures on consumer electronics prices in the month. As a result, we expect a second consecutive decline in CPI core goods prices (*Fig. 2*).

Research Analysts

North America Economics

Aichi Amemiya - NSI

aichi.amemiya@nomura.com

+1 212 667 9347

Jeremy Schwartz - NSI

jeremy.schwartz@nomura.com

+1 212 667 9637

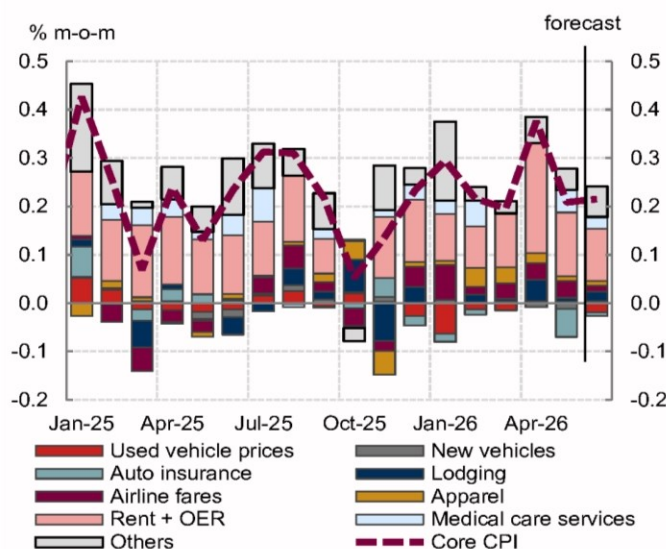
Ruchir Sharma - NSI

ruchir.sharma@nomura.com

+1 212 667 9186

Fig. 1: We expect core CPI inflation remained relatively stable at 0.215% m-o-m in June

Decomposition of m-o-m core CPI inflation

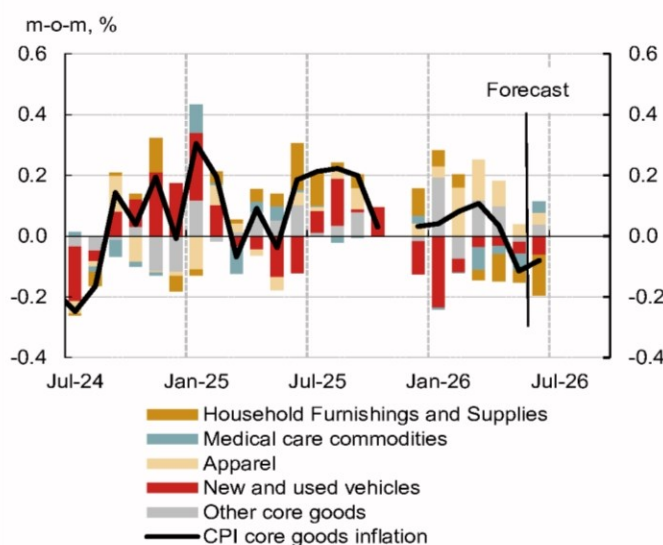


Note: For CPI components that are not available in October 2025, we assume no inflation on a not-seasonally adjusted basis for survey-based components, but seasonal adjustment is applied.

Source: BLS, Haver, Nomura

Fig. 2: Core goods inflation likely remained negative in June, partly due to lower used vehicle prices

Decomposition of m-o-m core goods CPI inflation



Source: BLS, Haver, Nomura

Our forecast for supercore CPI inflation is 0.373% m-o-m for June, above the 0.273% advance in May (*Fig. 3*). Lodging-away-from home prices likely rose, somewhat boosted by the FIFA World Cup. By contrast, we expect inflation of transportation service prices

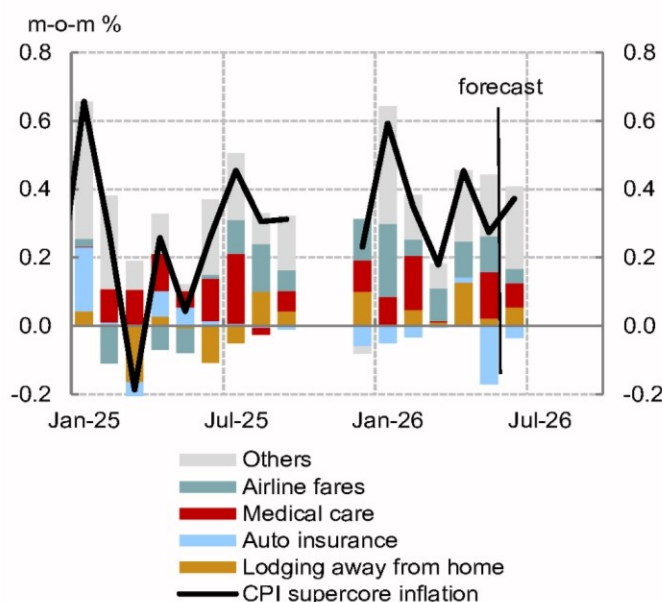
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remained soft in June as lower jet fuel prices appear to have weighed down airline fares in the middle of June.

We expect inflation of regular rent and owners' equivalent rent (OER) moderated to 0.24% m-o-m and 0.28% m-o-m in June, as temporary strength in May likely waned in June.

Fig. 3: CPI supercore inflation likely accelerated in June

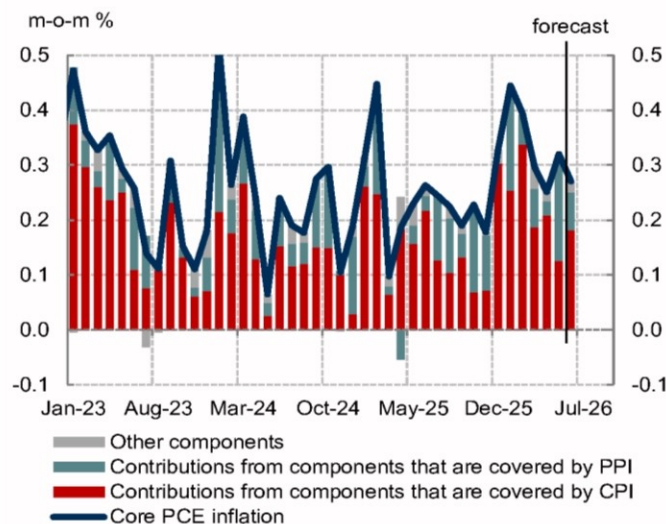
Decomposition of m-o-m CPI supercore inflation



Source: BLS, Haver, Nomura

Fig. 4: Core PCE inflation likely moderated slightly, but remained elevated in June

Decomposition of m-o-m core PCE inflation by data source



Source: BLS, BEA, Haver, Nomura

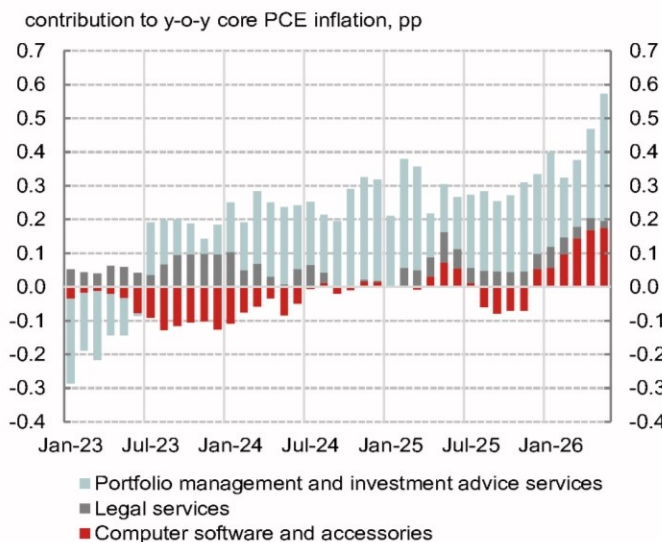
Based on our forecasts for CPI and PPI data, we expect June core PCE inflation to moderate modestly to 0.271% m-o-m from 0.320% in May, which would keep y-o-y inflation at 3.4% (Fig. 4). Some expected softness in June CPI data does not feed into core PCE inflation, while PPI's portfolio management and investment advice services, a key input into core PCE inflation, appears to have increased at a decent pace of 2.7% m-o-m in June, which helps core PCE inflation outpace core CPI inflation.

As discussed in our [recent note](#), the BEA will make substantial changes to the way it estimates PCE prices for computer software and accessories, portfolio management and investment advice services, and legal services. The combined contribution of those components to y-o-y core PCE inflation was about 60bp in May (Fig. 5). We estimate that those methodological changes will reduce y-o-y core PCE inflation by about 20bp. Against this backdrop, policymakers might discount some of the anticipated boost from portfolio management and investment advice prices (~5bp to June core PCE inflation).

Beyond June, we expect that warning impact of tariffs, lower crude oil prices, moderating wage growth and negative residual seasonality (Fig. 6) will lead to gradual moderation in core PCE inflation, which is consistent with our Fed call of no rate hikes through the end of 2027.

Fig. 5: Portfolio management & investment advice services, and computer software & accessories substantially boosted core PCE inflation

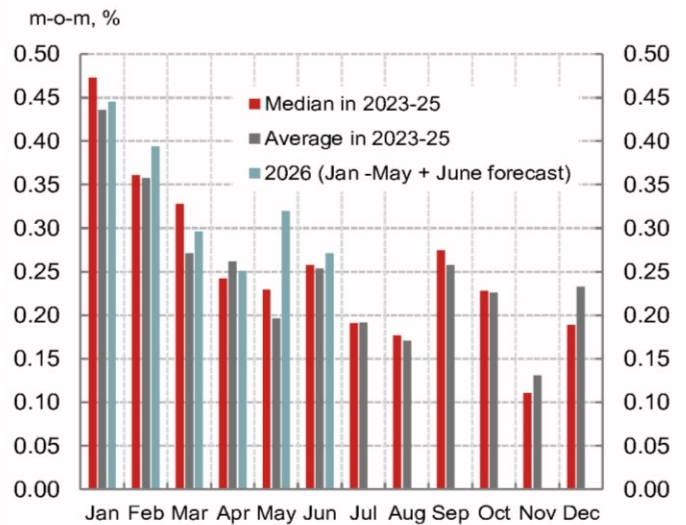
Contributions to y-o-y core PCE inflation from the components that are subject to methodological changes



Source: BEA, Haver, Nomura

Fig. 6: M-o-M core PCE inflation tends to be weighed down by negative residual seasonality in the second half of the year

The median and average of m-o-m core PCE inflation by month over the past three years vs. 2026



Source: BEA, Haver, Nomura

Rollout of the Fed task force members

The Fed announced the *leadership of five task forces* as part of Chair Warsh's broader review of the monetary policy framework. We do not see any clear bias in the choice of members in terms of rate policy. Based on these personnel choices, we expect policy recommendations will be evolutionary, not revolutionary.

In some cases, such as the balance sheet task force, Warsh has included members who might oppose his long-held views, a signal that the results of the task force are not a fait accompli. We think this will increase credibility on future work from those task forces.

Although the purpose of task forces is not to discuss fiscal policy, some members appear to favor limiting not using the Fed's balance sheet to accommodate expansionary fiscal policy, which is consistent with Warsh's previous comment that the Fed should "get out of the fiscal business."

There is a risk that a majority of the FOMC participants might not accept policy proposals from the task forces, which are expected to be submitted by the end of this year. Note that New York Fed President Williams described the timeline of task forces as "pretty aggressive."

Chair Warsh announced the leadership of the five task forces. The Fed statement noted that each task force will consider whether policymakers' means and methods, analytical tools, and policy approaches can be improved upon. Members include former central bankers, industry professionals, and academics. Overall, the statement suggests the review is comprehensive and not focused on a narrow set of goals.

Warsh's testimony next week is unlikely to break new ground

In terms of Fed speak next week, the highlight is Warsh's first semi-annual testimony at House Financial Service Committee on Tuesday and Senate Banking Committee on Wednesday. Given that affordability issues are at the center of discussions, Warsh will stress the importance of achieving price stability, but fall short of how to do so. Now that the five task forces will commence, we expect Warsh to defer to future work by the task forces when asked about the monetary policy outlook. Elsewhere, Governors Waller, Barr, Cook, Bowman, and Jefferson, regional Fed presidents Williams, Musalem, Logan, and Schmid will be speaking publicly next week.

Growth momentum continues

Data scheduled for release next week is likely to point to continued resilience in growth. We expect retail sales growth slowed to 0.3% in June following a 0.9% increase in May. The weakness was primarily driven by a decline in gasoline sales, while other components remained strong. Industrial production likely rebounded, supported by stronger

manufacturing output, including gains in both autos and core manufacturing.

Q2 GDP tracking

We have lowered our Q2 GDP tracking estimate to 2.3% q-o-q ar from **2.4% last week**.

Our estimate for real final sales to private domestic purchasers edged up to 2.9%.

Fig. 7: Nomura's inflation forecasts (without the impact of upcoming methodology changes to certain PCE prices)

	Headline PCE		Core PCE			Headline CPI		Core CPI			CPI NSA Index
	m/m %	y/y %	m/m %	y/y %	qtrly, y/y %	m/m %	y/y %	m/m %	y/y %	qtrly, y/y %	
Jan-25	0.35	2.61	0.31	2.78		0.43	3.00	0.43	3.26		317.671
Feb-25	0.40	2.71	0.45	2.97		0.23	2.82	0.25	3.12		319.082
Mar-25	0.02	2.36	0.10	2.67	2.81	0.03	2.39	0.07	2.79	3.08	319.799
Apr-25	0.17	2.28	0.19	2.61		0.16	2.31	0.24	2.78		320.795
May-25	0.18	2.46	0.23	2.78		0.10	2.35	0.13	2.79		321.465
Jun-25	0.29	2.59	0.26	2.81	2.74	0.25	2.67	0.23	2.93	2.82	322.561
Jul-25	0.17	2.61	0.25	2.86		0.23	2.70	0.31	3.06		323.048
Aug-25	0.26	2.75	0.22	2.91		0.35	2.92	0.31	3.11		323.976
Sep-25	0.26	2.79	0.19	2.83	2.87	0.30	3.01	0.22	3.02	3.06	324.800
Oct-25	0.19	2.71	0.23	2.75		0.03	2.76	0.11	2.81		324.372
Nov-25	0.22	2.82	0.18	2.83		0.22	2.74	0.08	2.63		324.122
Dec-25	0.33	2.88	0.33	2.97	2.85	0.30	2.68	0.23	2.64	2.69	324.054
Jan-26	0.35	2.88	0.44	3.10		0.17	2.39	0.30	2.50		325.252
Feb-26	0.40	2.87	0.39	3.05		0.27	2.41	0.22	2.46		326.785
Mar-26	0.67	3.54	0.30	3.25	3.14	0.87	3.26	0.20	2.60	2.53	330.213
Apr-26	0.41	3.80	0.25	3.32		0.64	3.81	0.38	2.75		333.020
May-26	0.45	4.07	0.32	3.41		0.47	4.25	0.21	2.85		335.123
Jun-26	0.038	3.814	0.271	3.420	3.38	-0.203	3.754	0.215	2.804	2.79	334.671
Jul-26	0.12	3.76	0.21	3.38		0.07	3.60	0.22	2.71		334.675
Aug-26	0.22	3.71	0.20	3.36		0.24	3.48	0.22	2.62		335.244
Sep-26	0.20	3.65	0.20	3.37	3.37	0.21	3.37	0.22	2.61	2.65	335.759
Oct-26	0.14	3.60	0.22	3.36		0.09	3.43	0.22	2.73		335.500
Nov-26	0.21	3.59	0.21	3.39		0.22	3.41	0.22	2.87		335.177
Dec-26	0.25	3.50	0.21	3.27	3.34	0.28	3.37	0.22	2.85	2.82	334.989
Jan-27	0.20	3.35	0.25	3.07		0.18	3.39	0.27	2.82		336.286
Feb-27	0.15	3.09	0.20	2.88		0.12	3.25	0.20	2.80		337.403
Mar-27	0.19	2.60	0.20	2.78	2.91	0.18	2.57	0.20	2.80	2.81	338.703
Apr-27	0.13	2.31	0.20	2.73		0.08	1.98	0.19	2.62		339.597
May-27	0.15	2.00	0.20	2.61		0.11	1.59	0.19	2.60		340.448
Jun-27	0.16	2.13	0.20	2.53	2.62	0.14	1.94	0.19	2.57	2.60	341.162
Jul-27	0.18	2.19	0.19	2.52		0.17	2.04	0.19	2.54		341.509
Aug-27	0.19	2.17	0.19	2.50		0.20	2.00	0.18	2.50		341.952
Sep-27	0.21	2.18	0.19	2.48	2.50	0.23	2.02	0.18	2.47	2.50	342.557
Oct-27	0.15	2.19	0.19	2.45		0.12	2.06	0.18	2.43		342.397
Nov-27	0.21	2.20	0.18	2.43		0.23	2.08	0.18	2.38		342.137
Dec-27	0.25	2.19	0.18	2.40	2.43	0.28	2.09	0.18	2.34	2.38	341.981

Note: Oct and Nov CPI refers to Nomura's estimates.

Source: BLS, BEA, Haver, Nomura

Data Preview

The week ahead

We expect a 0.215% m-o-m rise in the core CPI in June.

Consumer prices (Tuesday): We expect **core CPI inflation** remained relatively stable at 0.215% m-o-m in June, after a 0.208% advance in May.

The waning impact from tariffs and lower used vehicle prices likely kept month-on-month core goods inflation in contractionary territory.

We expect supercore CPI inflation accelerated to 0.373% m-o-m in June, following a 0.273% advance in May. A positive impact from higher lodging-away-from-home prices appears to have been partially offset by slower increases in airline fares and medical care service prices. Inflation of rent-related components likely reverted lower following an upside surprise in May.

We expect CPI energy prices declined by 5.2% m-o-m in June, led by falling gasoline prices. This likely pushed down headline CPI inflation to -0.203% m-o-m.

Based on our forecast for CPI and PPI, June core PCE inflation likely moderated to 0.271% m-o-m in June (or 3.3% annualized) after a 0.320% advance in May.

While June core PCE inflation likely remained above an annual rate of 2%, we expect the anticipated negative headline inflation and upcoming methodological changes to PCE prices will keep the Fed patient on rate hikes at the July FOMC meeting.

PPI (Wednesday): Lower energy prices likely weighed on headline PPI inflation while “core” PPI which exclude volatile energy, food and trade services appears to have remained positive. It’s important to monitor if manufactured goods prices reacted to the recent decline in commodity prices. Also, as the focus is shifting from tariffs/crude oil prices towards AI-induced price pressures, PPI’s prices for electronic components including semiconductors are worth watching. Among PCE-relevant components, we expect PPI’s portfolio management and investment advice prices continued to rise at a solid pace of 2.7% m-o-m in June following a 4.9% jump in May. We assume that PPI’s domestic airline fares were down by 0.5% m-o-m in June, while it’s uncertain how this component reacted to the recent ups and downs in jet fuel prices.

Beige Book (Wednesday): The overall assessment on economic activity in the next Beige Book might be upgraded to reflect strong economic activity supported by the AI business investment. However, as was the case with the May Beige Book, the next Beige Book might highlight a deeper K-shaped bifurcation among households. In terms of prices, easing of price pressures due to lower commodity prices will likely be reported. Also, businesses might have reported that increased financial stress on middle-to-low income households made consumers more sensitive to price increases. Lastly, the May Beige Book mentioned “little to no change” in employment across eleven Districts, which was not consistent with the recent strength in nonfarm payrolls growth. We expect some upgrade to the assessment on employment growth in the Beige Book next week.

Retail sales (Thursday): We expect retail sales rose by 0.3% m-o-m in June following a 0.9% increase in May. The slowdown was primarily driven by a decline in sales at gasoline stations as real sales edged lower and gasoline prices fell in the month following the US-Iran ceasefire. However, excluding gasoline sales, consumption remained strong, supported by steady payroll income growth and higher tax refunds.

We expect nominal control retail sales rose by 0.6% m-o-m, driven by a pickup in online sales due to Amazon Prime Day and other competitive sales. Motor vehicle and parts sales growth also edged up as unit auto sales rebounded sharply in June.

NAHB Housing Market Index (Thursday): We expect the NAHB Housing Market Index picked up to 37 in July from 35 in June. Mortgage rates edged lower, and the US-Iran ceasefire was announced during the survey reference period, which were likely a tailwind for builder sentiment.

Jobless claims (Thursday): Initial claims ticked down, while continuing claims rose this week. Despite a pickup in layoff announcements, claims have remained subdued pointing to resilient labor markets.

Pending home sales (Thursday): We expect pending home sales fell by 0.7% m-o-m in June, marking the first monthly decline since January. Weekly data from Redfin suggest

pending sales softened in the month.

Import prices (Friday): We expect import prices fell in June, as crude oil prices reverted lower following the US-Iran ceasefire. Ex-petroleum import prices likely rose due to the lagged effect of a weaker dollar. Note, the scope of BLS's import prices excludes tariffs.

Industrial production (Friday): We expect industrial production growth rebounded to 0.6% m-o-m in June following a 0.1% increase in May. Manufacturing production likely rose by 0.4% m-o-m, driven by strong motor vehicles and parts production.

Core manufacturing (i.e., manufacturing excluding motor vehicles and parts production) likely grew by 0.3% m-o-m. Manufacturing surveys suggest production rose in the month, and aggregate employment in the sector improved. Volatile components were mixed in June, as a strong increase in electrical utility production more than offset a slowdown in mining production.

Housing starts (Friday): We expect housing starts rebounded to 1310k in June after an unexpected decline to 1177k in May. Lead indicators such as building permits suggest single-family starts likely remained strong in June, while the volatile multifamily segment partly reversed its steep drop in May. Building permits likely fell 0.3% m-o-m in June.

University of Michigan consumer sentiment (Friday): We expect the preliminary print of the University of Michigan consumer sentiment index edged up to 51.0 in July from 49.5 in June. The survey interview period began after the announcement of a ceasefire between the US and Iran, which was likely positive for sentiment. Energy prices fell and stock prices edged higher during the survey reference period, while high frequency data from the SF Fed Daily News Sentiment Index and Morning Consult survey point to a modest improvement in consumer sentiment.

Fig. 8: Forecasts for economic indicators released during the week of 13 July

Monday 13 July		Units	Period	Prev 2	Prev 1	Last	Nomura	Consensus
14.00	Budget statement	\$bn	Jun	-164.1	215.0	-292.6	n.a.	n.a.
Tuesday 14 July								
6.00	NFIB small business survey	Index	Jun	95.8	95.9	95.3	n.a.	95.5
8.30	Consumer prices	% m-o-m	Jun	0.9	0.6	0.5	-0.203	-0.1
8.30	Consumer prices	% y-o-y	Jun	3.3	3.8	4.2	3.754	3.9
8.30	Core CPI	% m-o-m	Jun	0.2	0.4	0.2	0.215	0.3
8.30	Core CPI	% y-o-y	Jun	2.6	2.8	2.9	2.804	2.9
8.30	Consumer prices (NSA)	Index	Jun	330.2	333.0	335.1	334.671	334.800
Wednesday 15 July								
7.00	Mortgage applications	% w-o-w	10-Jul	1.0	0.0	-2.2	n.a.	n.a.
8.30	PPI final demand	% m-o-m	Jun	0.7	1.1	1.1	n.a.	0.0
8.30	PPI ex food and energy	% m-o-m	Jun	0.3	0.7	0.4	n.a.	0.4
8.30	Empire State survey	Index	Jul	11.0	19.6	5.7	n.a.	9.3
14.00	Beige Book		Jul					
Thursday 16 July								
8.30	Initial jobless claims	000s	11-Jul	216	217	215	n.a.	n.a.
8.30	Continuing jobless claims	000s	4-Jul	1812	1806	1814	n.a.	n.a.
8.30	Retail sales	% m-o-m	Jun	1.7	0.4	0.9	0.3	0.3
8.30	Retail sales "control"	% m-o-m	Jun	0.9	0.5	0.7	0.6	0.4
8.30	Retail sales ex-autos	% m-o-m	Jun	2.0	0.7	0.8	0.0	-0.1
10.00	NAHB housing market index	Index	Jul	34	37	35	37	35
10.00	Business inventories	% m-o-m	May	0.4	1.0	0.5	n.a.	n.a.
10.00	Pending home sales	% m-o-m	Jun	1.7	0.3	3.8	-0.7	n.a.
Friday 17 July								
8.30	Import prices	% m-o-m	Jun	0.9	2.0	1.9	n.a.	n.a.
8.30	Import prices ex-petroleum	% m-o-m	Jun	0.0	0.5	0.8	n.a.	n.a.
8.30	Housing starts	000s	Jun	1522	1392	1177	1310	1330
8.30	Housing starts	% m-o-m	Jun	13.1	-8.5	-15.4	11.3	13.0
8.30	Building permits	000s	Jun	1363	1423	1410	1406	1400
8.30	Building permits	% m-o-m	Jun	-11.5	4.4	-0.9	-0.3	-0.7
9.15	Industrial production	% m-o-m	Jun	-0.3	0.9	0.1	0.6	0.2
10.00	U of M consumer sentiment	Index	Jul-Pre	49.8	44.8	49.5	51.0	51.3
10.00	U of M 5-10yr inflation expectations	%	Jul-Pre	3.5	3.9	3.3	n.a.	n.a.

Note: Eastern Daylight Time (EST). All Nomura forecasts are modal.

Source: Bloomberg, Haver, Nomura

US Economic Outlook

We expect the Fed to stay on hold indefinitely due to diminished political pressure, elevated inflation, and hawkish Fed speak.

Economic activity: Growth momentum has accelerated, supported by easing tariff uncertainty, fiscal stimulus from the One Big Beautiful Bill Act, and the lagged impact of Fed rate cuts amid easy financial conditions. *Business investment appears to be broadening beyond the AI sector.* Higher tax refunds and strong payroll income growth have supported consumer spending thus far, despite headwinds from the Iran war. A broad range of indicators point to resilience and tentative signs of reacceleration in the labor market. We expect the unemployment rate will decline, reaching 4.1% by year-end. We think that the US economy remains relatively insulated from *the crude oil price shock due to the Iran war* given the small share of energy-goods consumption in household spending, as well as domestic energy production.

Inflation: Core inflation remains well above the Fed's 2% target, and we believe risks are skewed to the upside. We forecast Q4 2026 core PCE inflation of 3.3% y-o-y. We expect tariff price pressures will diminish in the coming quarters. However, this will likely be offset by new price pressures driven by supply shortages caused by AI (memory chips, electricity, etc.) along with spillovers from higher energy prices. Wage growth seems to have moderated gradually, but remains higher than the level consistent with the Fed's 2% inflation goal, which is likely to lead to stickiness in supercore service inflation. We expect rent disinflation to continue, but at a very gradual pace.

Policy: *We expect the Fed to remain on hold indefinitely.* Fed Chair Warsh likely remains motivated to ease policy, but recent elevated inflation readings and hawkish Fed speak suggest he may not be able to convince the majority of the Fed to support rate cuts. Moreover, support among Fed officials for an easing bias has begun to wane. While hikes appear unlikely in the near term, the Fed's hesitance to respond to tentative signs of inflation pressure raises the risk that they may end up "behind the curve," needing to hike quickly to re-establish credibility. The balance of risks is tilted towards tightening at this moment. On tariffs, wider Section 122 exemptions, lower tariff rates, and a greater focus on affordability suggest *limited further escalation* in US trade policy.

Risks: Further escalation of geopolitical risks could lead to a tightening of financial conditions and worsening of the fiscal outlook. Increased political pressures on individual FOMC participants could undermine the Fed's credibility, soliciting sharp market reactions. A bust of the AI boom could lead to material corrections in asset valuations. A continued shortage of memory chips and supply chain disruption due to a protracted Iran war could lead to a second round of goods price increases.

Fig. 9: United States: Details of the forecast

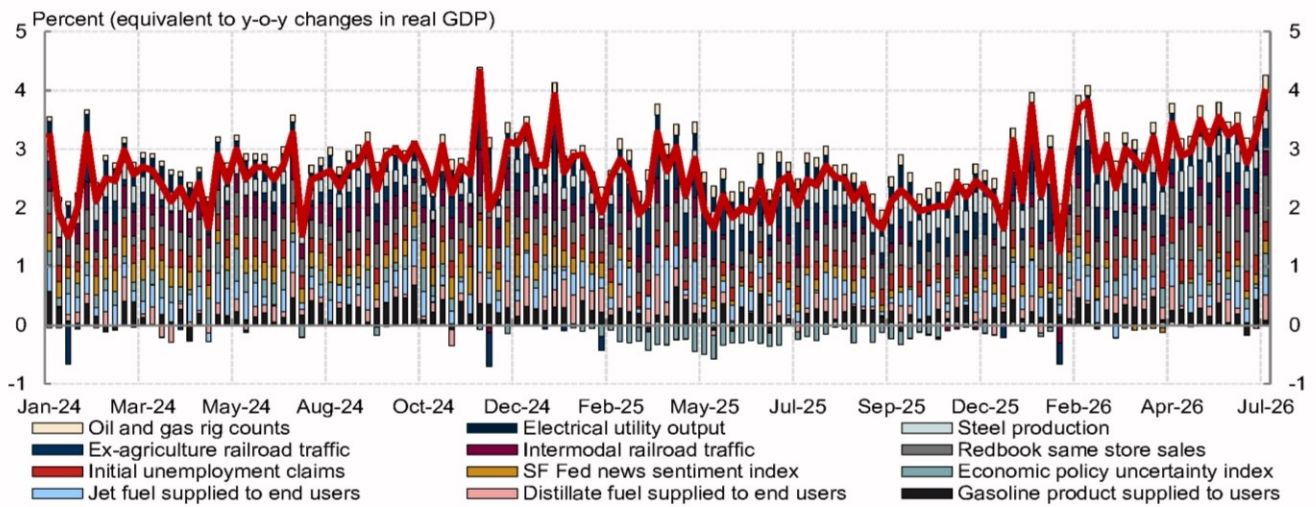
		1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26	4Q26	1Q27	2Q27	3Q27	4Q27	% y-o-y			% Q4/Q4		
														2025	2026	2027	2025	2026	2027
%																			
q-o-q																			
Real GDP	(%, a.r.)	-0.6	3.8	4.4	0.5	2.1	2.7	2.1	1.9	1.9	1.9	1.6	1.6	2.1	2.3	1.9	2.0	2.2	1.8
	(%)	-0.2	0.9	1.1	0.1	0.5	0.7	0.5	0.5	0.5	0.5	0.4	0.4						
Personal consumption	(%, a.r.)	0.6	2.5	3.5	1.9	0.5	1.7	1.9	1.8	1.7	1.7	1.5	1.5	2.6	1.7	1.7	2.1	1.5	1.8
Nonresidential fixed invest	(%, a.r.)	9.5	7.3	3.2	2.4	10.6	9.9	4.5	3.6	3.4	3.1	2.5	2.5	4.1	6.5	3.7	5.6	7.1	5.3
Residential fixed invest	(%, a.r.)	-1.0	-5.1	-7.1	-1.7	-7.8	2.5	3.2	3.0	2.8	2.8	2.5	2.5	-2.2	-2.5	2.8	-3.8	0.1	2.9
Government expenditure	(%, a.r.)	-1.0	-0.1	2.2	-5.6	4.4	3.2	0.9	0.9	0.9	0.9	0.9	0.9	1.1	1.0	1.1	-1.2	2.4	1.5
Exports	(%, a.r.)	0.2	-1.8	9.6	-3.2	10.9	6.3	2.3	2.3	2.3	2.3	2.2	2.1	1.6	4.7	2.5	1.1	5.4	3.3
Imports	(%, a.r.)	38.0	-29.3	-4.4	-1.0	11.8	15.2	3.5	3.3	2.8	2.5	2.3	2.0	2.7	3.2	3.5	-1.9	8.3	6.1
Contributions to GDP:																			
Final sales	(pp., a.r.)	-3.2	7.3	4.5	0.3	1.9	1.9	2.0	1.8	1.8	1.8	1.6	1.6	2.2	2.3	1.8	2.1	1.9	1.7
Net trade	(pp., a.r.)	-4.7	4.8	1.6	-0.2	-0.4	-1.3	-0.2	-0.2	-0.1	-0.1	-0.1	0.0	-0.2	0.1	-0.2	0.4	-0.5	-0.1
Inventories	(pp., a.r.)	2.6	-3.4	-0.1	0.1	0.2	0.8	0.2	0.1	0.1	0.1	0.1	0.0	-0.1	0.0	0.2	-0.1	0.3	0.1
As noted																			
Unemployment rate	(%)	4.1	4.2	4.3	4.5	4.3	4.3	4.2	4.1	4.0	3.9	3.9	3.9	4.3	4.2	3.9			
Nonfarm payrolls	(000s)	20	34	23	-39	73	111	90	120	100	90	90	90	10	99	90			
Housing starts	(000s, a.r.)	1397	1356	1347	1323	1418	1410	1430	1420	1400	1390	1390	1380	1356	1419	1390			
Consumer prices	(%, y-o-y)	2.7	2.5	2.9	2.7	2.7	3.9	3.4	3.3	3.0	1.9	2.1	2.1	2.7	3.3	2.3			
Core CPI	(%, y-o-y)	3.1	2.8	3.1	2.7	2.5	2.8	2.7	2.9	2.9	2.6	2.5	2.4	2.9	2.7	2.6			
PCE Deflator	(%, y-o-y)	2.6	2.4	2.7	2.8	3.1	3.9	3.7	3.5	2.9	2.1	2.2	2.2	2.6	3.5	2.4			
Core PCE	(%, y-o-y)	2.8	2.7	2.9	2.9	3.1	3.4	3.3	3.3	2.9	2.6	2.5	2.4	2.8	3.3	2.6			
Federal budget	(% GDP)													-5.8	-6.4	-6.4			
Current account balance	(% GDP)													-3.7	-3.4	-3.2			
Fed securities portfolio	(\$trn)	6.32	6.24	6.19	6.15	6.27	6.34	6.42	6.48	6.54	6.60	6.66	6.72	6.15	6.48	6.72			
Fed funds target midpoint	(%)	4.375	4.375	4.125	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625			
TSY 2-year note	(%)	3.89	3.72	3.60	3.47	3.79	4.14	4.15	4.10	4.10	4.05	4.00	3.95	3.47	4.10	3.95			
TSY 5-year note	(%)	3.96	3.79	3.74	3.73	3.92	4.19	4.30	4.25	4.25	4.25	4.20	4.20	3.73	4.25	4.20			
TSY 10-year note	(%)	4.23	4.24	4.16	4.18	4.30	4.44	4.60	4.60	4.60	4.60	4.55	4.50	4.18	4.60	4.50			

Note: The unemployment rate is a quarterly average as a percentage of the labor force. Nonfarm payrolls are average monthly changes during the period. Inflation measures and calendar year GDP are year-over-year percent changes. The Fed securities portfolio is end-of-period. The annual interest rate forecasts are end-of-period. Housing starts are period averages. Numbers in bold are actual values. Table reflects data available as of 10 July 2026. All Nomura forecasts are modal

Source: BEA, BLS, Census Bureau, FRB, Haver, Nomura

Week in Review

Fig. 10: Weekly data tracker and its decomposition



Note: We estimate a latent factor that contributes the most to the total variance of 13 daily and weekly US indicators covering industrial and consumer sectors via principal component analysis (i.e., the first principal component). We calibrate this factor to track four-quarter changes in real GDP.

Source: AAR, Baker Hughes, DOL, EIA, EEI, MBA, PolicyUncertainty, Redbook Research, SF Fed, Haver Analytics, Nomura

Economic Insights - US: Gathering forces

Economic Insights - US: Technical disinflation

Economic Insights - US: June CPI Preview

Fig. 11: Economic Data Calendar

	Mon 13 July	Tue 14 July	Wed 15 July	Thu 16 July	Fri 17 July
North America	US Budget statement (Jun) \$bn -292.6, n.a., n.a.	US Consumer prices (Jun) % m-o-m 0.5, -0.203, -0.1	US PPI final demand (Jun) % m-o-m 1.1, n.a., 0.0	US Retail sales (Jun) % m-o-m 0.9, 0.3, 0.3	US Housing starts (Jun) % m-o-m -15.4, 11.3, 13.0
		US Core CPI (Jun) % m-o-m 0.2, 0.215, 0.3	US Empire State survey (Jul) Index 5.7, n.a., 9.3	US NAHB HMI (Jul) Index 35, 37, 35	US Industrial production (Jun) % m-o-m 0.1, 0.6, 0.2
		US Consumer prices (NSA) (Jun) Index 335.1, 334.7, 334.8	CAN BoC policy rate (Jul) % 2.25, 2.25, 2.25	US Pending home sales (Jun) % m-o-m 3.8, -0.7, n.a.	US U of M consumer sent (Jul-p) Index 49.5, 51.0, 51.3
Europe (ex-UK)			EUR Ind. product. (May) % m-o-m 0.1, 0.2, n.a.		Final HICP (June) % y-o-y 3.2, 2.8, n.a.
					Final core HICP (June) % y-o-y 2.6, 2.4, n.a.
United Kingdom		BRC like-for-like sales % y-o-y 3.4, n.a., n.a.		Monthly GDP % m-o-m -0.1, 0.2, n.a.	
		Bailey Mansion Hse speech		Industrial production % m-o-m 0.0, 0.2, n.a.	
				Services production % m-o-m -0.2, 0.2, n.a.	
CEEMEA	Türkiye Retail trade (May) % y-o-y 11.4, n.a., n.a.	Hungary Hungary parliament votes on ousting President	Poland CPI (Jun F) % y-o-y 2.5, n.a., 2.5	Hungary Average gross wages (May) % y-o-y 9.0, n.a., 8.8	Czech R. CPI (Jun) % y-o-y 1.5, n.a., 1.5
	Türkiye Current account balance (May) USDbn -5.7, -0.9, n.a.		Israel CPI (Jun) % y-o-y 1.9, n.a., 1.6	Türkiye Budget Balance (Jun) TRYbn -298.2, n.a, n.a.	
				Israel GDP (1Q F) % y-o-y -3.8, n.a, n.a	
Japan				Poland CPI Core (Jun) % y-o-y 3.1, n.a., 3.1	
			Machinery orders (May) % m-o-m 8.7, -6.7, n.a.	106th Opinion Survey by BOJ	
			Tertiary industry activity index (May) % m-o-m 1.3, -0.7, n.a.		
Asia ex-Japan	India Exports (Jun) % y-o-y 18.0, 26.4, n.a.	China Exports (Jun) % y-o-y 19.4, 16.2, 18.8	China Retail sales (Jun) % y-o-y -0.6, 0.9, -0.1	S. Korea BOK policy meeting (Jul) % 2.50, 2.75, 2.75	Singapore NODX (Jun) % y-o-y 38.4, 32.6, 31.0
	India CPI (Jun) % y-o-y 3.9, 4.2, 4.2	Singapore Advance Real GDP estimates (Q2) % y-o-y 6.0, 5.1, 5.6	China Industrial production (Jun) % y-o-y 4.5, 4.5, 4.6		Malaysia CPI (Jun) % y-o-y 2.0, 2.0, 2.0
			China Real GDP (Q2) % y-o-y 5.0, 4.1, 4.5		Malaysia Advance Real GDP estimates (Q2) % y-o-y 5.4, 5.9, 5.1

Source: Bloomberg, Reuters, Nomura Global Economics.

Appendix A-1

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